

AUSTRIA

2010

1. Overview of the system

Austria's unemployment insurance benefits are related to previous earnings subject to a maximum of 55 per cent of the net-earnings level and are paid for up to one year. UI assistance benefits also based on previous net income in work may then be paid. A universal assistance benefit provides a safety net for all adult inhabitants. The tax unit is the individual.

1.1. Average worker wage (AW)

The 2010 AW earnings level is EUR 38 504.

2. Unemployment insurance

2.1 Conditions for receipt

2.1.1 Employment conditions

To qualify, workers must have worked at least one out of the last two years.

2.1.2 Contribution conditions

Unemployment insurance is compulsory for dependent workers but only up from a monthly earning of EUR **366.33** (*Geringfügigkeitsgrenze*). UI insurance is not for civil servants. Self employed can insure themselves voluntarily. To qualify, workers need to have contributed one year. Only 28 weeks suffice in case of repeated spells of unemployment. This condition coincides with the employment condition.

2.2 Calculation of benefit amount

2.2.1 Calculation of benefit

Benefits are defined as a percentage of after tax income: 55 per cent of the average net reference income over a year (we call this the basic amount). The total benefits may not exceed 60 per cent of reference income (80 per cent if dependants) for low income: for people with low net reference earnings, there is a supplement (*Ergänzungsbetrag*). If the basic amount is below the equalisation supplement reference rate for a single person (*Ausgleichszulagenrichtsatz*, see 3.2.1) then the replacement rate is 60 per cent instead of 55 per cent in the case of no dependants and 80 per cent instead of 55 per cent for benefit recipients with dependants.

Maximum monthly earnings for the purpose of calculating the maximum benefit amount are EUR **3,840** which result in a maximum benefit of EUR **44.70** per day. Note that the cap of the contribution-base to the UI-fund is at EUR **4,110**. The daily benefit is increased by EUR 0.97 per dependent (family supplement). For benefit recipients who qualify for the *Ergänzungsbetrag*, total unemployment benefit after *Ergänzungsbetrag* and family supplements may not exceed the equalisation supplement reference rate (*Ausgleichszulagenrichtsatz*). For the purposes of this publication, “net income” is defined as gross earnings minus income tax, minus social security contributions minus work-related expenses.

2.2.2 *Income and earnings disregards*

The basic benefit is not affected by the beneficiary’s own work related earnings as long as they do not exceed EUR **366.33** per month. Earnings from work above this level generally results in the total loss of all benefit entitlements.

If the recipient has a work contract which lasts not more than 27 days with an earning more than EUR **366.33**, benefits are withdrawn completely during the period of work. Additionally, benefits for days not worked in that month will be reduced according to a specific rule. In some cases (such where the benefits are not very high and/or earnings are rather high) this reduction can however result in a complete withdrawal.

Income from other sources (rent, interest etc.) do not affect UI benefit.

2.3 *Tax treatment of benefit*

Benefits are tax-free.

2.4 *Benefit duration*

Benefit is payable 7 days per week immediately upon entry in unemployment, without a waiting period. The total duration is 20 weeks or more, depending on the employment record, with ceilings depending on age:

- 30 weeks after 156 weeks of work in 5 years.
- For 40-49 year-old recipients: 39 weeks after 312 weeks of work in 10 years.
- For recipients aged 50 and above: 52 weeks after 468 weeks of work in the last 15 years.

The benefit duration can be increased up to 156 weeks or up to 209 weeks for workers participating in specific labour market policy activities (employment foundations– *Arbeitsstiftungen*).

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

For persons under 25, a 26-week employment record is sufficient to qualify for their first UI benefit.

2.5.2 *Older workers*

See 2.4 above.

3. Unemployment assistance (*Notstandhilfe*)

3.1 Conditions for receipt

The benefit is only payable after exhaustion of UI benefits and if the person is in need/poverty.

3.1.1 Employment conditions

None.

3.1.2 Contribution conditions

To qualify, workers must have already received UI benefits.

3.2 Calculation of benefit amount

3.2.1 Calculation of benefit

The benefit amounts to 92 per cent of the previous *basic* UI benefit or 95 per cent for low income groups, *i.e.*, persons whose *total* unemployment insurance benefits were less than EUR **783.99** per month (this amount is the standard value for the equalisation supplement reference rate, the so called *Ausgleichszulagenrichtsatz*). Family supplements as described in section 2.2.1 above are paid on top of that.

3.2.2 Income and earnings disregards

Benefit is not affected by other income or earnings of the spouse not exceeding EUR **495** per month. This exemption limit is raised by EUR **247.50** for each child. Any net income of the spouse above that amount reduces unemployment assistance.

The benefit is not affected by the beneficiary's own work related income as long as this income does not exceed EUR **366.33** per month; earnings from work above this level generally results in the total loss of all benefit entitlements. If the recipient works not more than 27 days UI benefit for days not worked is reduced (see also 2.2.2.).

Income from other sources (rent, interest etc.) affect UI assistance.

3.3 Tax treatment of benefit

Benefits are tax-free.

3.4 Benefit duration

Indefinite, as long as recipients qualify.

3.5 Treatment of particular groups

3.5.1 Young persons

3.5.2 Older workers

Disregards concerning spouses' incomes are higher for older UA-recipients, but only if they have a longer contribution time. For recipients over the age of 50 the exemption limit is EUR **990** (and

in addition EUR **495** for each child), for recipients older than 55 it is EUR **1,485** (additional EUR **742.50** for each child).

4. Social assistance

Two forms of assistance benefits exist: general assistance (*Sozialhilfe*) and supplementary pension (*Ausgleichzulage*), the latter is only paid to age pensioners or other persons incapable of working and is therefore not considered.

4.1 Conditions for receipt

No age limit

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

Provinces vary eligibility conditions and payment rates; the execution of rules is not uniformly agreed but depends heavily on the discretion of the social welfare agency.

Monthly rates in EUR 2010

Family type	Carinthia	Upper Austria	Vienna	Average
Single person	632,5	577,5	461,0	557,0
Couple	948,8	862,0	714,0	841,6
Dependent child	113,9	162,0	137,0	137,6
	(1 st and 2 nd born child)			131,3
	94,87			
	(from the 3 rd born child on)			

Remarks: The rates (except those for Carinthia) do not include the benefits for housing which vary from province to province.

4.2.2 Income and earnings disregards

Entitlements depend on household resources rather than those of the individual or nuclear family. Officially other relatives have a duty under family law to provide financial support. If circumstances allow, the benefit must be repaid after the recipient has left social assistance. In this report, all resources are considered in the means and income test apart from family benefits. Alimony payments from the absent parent are taken into account when calculating the entitlement to social assistance.

If household income is below the social-assistance threshold irrespective of reason (low unemployment benefit, low wages whatever) people concerned are entitled to a “top-up” social assistance.

4.3 *Tax treatment of benefit*

The benefit is not taxable.

4.4 *Benefit duration*

As long as the social administration considers that the household is eligible.

4.5 *Treatment of particular groups*

4.5.1 *Young persons*

None

4.5.2 *Older workers*

None.

4.6 *Means-tested guaranteed minimum income*

The means-tested guaranteed minimum income is a reform of the social assistance. The monthly rates are going to be safeguarded to a minimum limit in all of the federal provinces. By the end of 2010 not all of the nine provinces have introduced the new law yet, so the means-tested guaranteed minimum income will be considered in the tax & benefit questionnaire 2011.

5. *Housing benefits*

The costs can be covered by social assistance and also by other schemes. Because the treatment of housing costs varies widely geographically, we take Vienna as an example.

The rent assistance for people receiving social assistance in Vienna is called “**Mietbeihilfe**”. Its amount depends on the number of persons concerned and the number of square metres of the flat.

In addition to the "Mietbeihilfe" for SA recipients, there exists a "Wohnbeihilfe" and a "Mietzinsbeihilfe". See Annex A and B.

“**Wohnbeihilfe**” (granted by the City of Vienna) depends on the type of housing, this means that there are differences according to housing in

- subsidised built houses
- subsidised renovated houses
- privately rented, non-subsidised built or renovated houses – called “Allgemeine Wohnbeihilfe”

Reference date for all information is **July 1st 2010**

According to the OECD demand, only the “Allgemeine Wohnbeihilfe” is shown:

5.1 *Conditions for receipt*

"Mietbeihilfe":

Not defined.

“Wohnbeihilfe”:

- Only for persons with Austrian nationality, persons equal in law and foreigners with a legal stay in Austria for more than five years
- In addition, a net-income per month is required, at least
 - for one person EUR 744,01 for two persons EUR 1.150,50
 - per child EUR 77,87

No “Wohnbeihilfe” is paid to owners of flats and tenants with family relationships to lessors.

5.2 *Calculation of benefit amount*

No age limit

5.2.1 *Calculation of gross benefit*

The amount depends on the rent per month, the income per month, the number of the people living in the household and the size of the flat.

"Mietbeihilfe":

„Dauerleistungs-Richtsatz“ (basic amount for the calculation)

- for one person EUR 690,06 per month
- for couples EUR 1037,13 per month

plus the rent per month

minus possibly granted “Wohnbeihilfe” and/or “Mietzinsbeihilfe”

minus the income per month

minus „Durchschnittlicher Mietbedarf“ (EUR 91 per month)

Maximum amount of “Mietbeihilfe” per month:

Maximum amount of rent assistance for people receiving social assistance in Vienna

Monthly rates		
Persons	Square metres	Maximum amount in EUR
1 or 2	Up to 50	256,0
3 or 4	Up to 70	271,0
5 or 6	Up to 90	287,0
7 and more	More than 90	302,0

In addition, every household concerned can get EUR 41 heating assistance per month.

“Wohnbeihilfe”:

The difference between “Anrechenbarer Wohnungsaufwand” (countable housing expenditure) and “Zumutbarer Wohnungsaufwand” (reasonable housing expenditure) is paid as “Wohnbeihilfe” (more details about the calculation of the “Allgemeine Wohnbeihilfe” *see Annex B*).

5.2.2 *Income and earnings disregards*

See section 4.2.2.

5.3 ***Tax treatment of benefit***

The benefit is not taxable.

5.4 ***Treatment of particular groups***

The family income as basis of the “Zumutbarer Wohnungsaufwand” is reduced per 20 % in favour of families in special situations:

- families with all members under the age of 40,
- families with one child under the age of six,
- families with a member that is handicapped at least 45 %,
- families with at least three children,
- families with a handicapped child and
- single parent families, not remarried or in a similar partnership.

Das Eingetragene Partnerschaftsgesetz – EPG hat mit seiner Terminologie in das WWFSG 1989 Eingang gefunden. Demgemäß wurden die Begriffe Familieneinkommen durch Haushaltseinkommen, die Familie durch Haushaltsgemeinschaft ersetzt und die Begriffe eingetragener Partner sowie Partnerschaft im Sinne des EPG eingearbeitet. Bemerkt wird, dass es sich hier nur um eine formelle Anpassung gehandelt hat, zumal in materieller Hinsicht kein Änderungsbedarf bestand.

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6. Family benefits

6.1 *Conditions for receipt*

Family benefits are paid only to families with dependent children.

6.2 *Calculation of benefit amount*

The per capita amounts are differentiated to age groups.

6.2.1 *Calculation of gross benefit*

The family benefits differ by the age and the number of children: EUR 105.40 monthly up to the age of 3, EUR 112.70 up to the age of 10, EUR 130.90 up to the age of 19 and EUR 152.70 up to age 26/27 for students and children in vocational training. There is a child benefit supplement if there is more than one child: EUR 12.80 per month for the second child, EUR 35 for the third child and EUR 50 for the fourth child and additional ones. There is a further increase of EUR 36.40 per month for the third child and additional ones if household taxable income is below the annual limit EUR 55 000 per year. Starting in September 2008, the respective benefit amount ("13th allowance") will be doubled in September each year. This means an increase of the annual allowance by 1/12 (8.33%). Beside these family benefits all families also receive EUR 58.40 per month for each child as a negative tax. (Although the source for this benefit is the tax system it can be characterized as a social benefit, since all families - including families who pay no taxes – are entitled to it.).

6.2.2 *Income and earnings disregards*

Child benefits are not subject to any means test. Benefits are not paid out (i) for youth above 18 who are in education and earn more than EUR 9000,- per year; (ii) for unemployed youth below 21 whose income exceeds the *Geringfügigkeitsgrenze* (EUR 357,74 / month).

6.3 *Tax treatment of benefit*

Family benefits are not taxable.

6.4 *Treatment of particular groups*

Handicapped children entitle families to increased benefits (plus EUR 138,30).

7. **Childcare for pre-school children**

Percentage of children in childcare centres; 2009 :

- 0-2: 15.8 %
- 3-5: 88.5%
- 6-9: 15.4%.

Compulsory school-age is 6.

7.1 *Out-of-pocket childcare fees paid by parents*

To improve social, linguistic and cognitive skills of preschool-children compulsory child-day-care has been introduced for all children at the age of 5 in September 2010. Day-care is provided free of charge for at least 4 hours per day for children of this age throughout Austria. The criteria in detail are fixed by a treaty between the federal government and the federal states.

Additionally there is child-care offered free of charge for the following age-groups in the different states:

- All-day-care for children 0 - 6 years in Vienna and Burgenland
- All-day-care for children 3 - 6 years in Styria
- Half-day-care for children 2,5 - 6 in Lower Austria and Upper Austria
- Half-day-care for children 3 - 6 in Carinthia
- Half-day-care for children 4 - 6 in Tyrol

In any other day-care facilities parents fees are depending on the family net income (consists of both incomes, family allowance etc.), the number of cared for children, the number of brothers and sisters children of cared for children. They are varying considerably because they are defined

Reference date for all information is **July 1st 2010**

by private child-care-centres and municipalities. Childcare is subsidised by states and communities in order to decrease parent`s fees.

In 2009 a tax deductibility up to a figure of EUR 2.300,-- € per year and child was introduced for childcare costs for children up to 10 years.

7.2 *Childcare benefits*

7.2.1 *Conditions for receipt*

Childcare allowance (Kinderbetreuungsgeld – KBG) is due to (gebührt) births in the period as from 1 January 2002.

- Childcare allowance is received by all mothers/fathers (also adoptive or foster parents), regardless of whether they were in employment before the birth, and is thus also available to housewives, students etc. To receive childcare allowance there needs to be an receipt of family allowance (Familienbeihilfe), the parent claiming has to live in the same household as the child, the examinations according to the mother-child pass programme have to be carried out and the ceiling of additional earnings (depending on the chosen option must not be exceeded. (die vorgeschriebenen Mutter-Kind-Pass Untersuchungen müssen durchgeführt werden und die jeweilige Zuverdienstgrenze, abhängig von der gewählten Variante, darf nicht überschritten werden.)

Since 2006 another condition of entitlement to child care allowance was established: parent and the child must have their center of interests (Mittelpunkt der Lebensinteressen) within the federal territory; Nationals of third countries have to stay legally (rechtmäßiger Aufenthalt) in Austria.

- Childcare allowance cannot be claimed while there is entitlement to maternity allowance. However, if maternity allowance is lower than childcare allowance, there is an entitlement to a supplementary amount up to the level of childcare allowance.
- Childcare allowance is only paid for the youngest child. If a further child is born while childcare allowance is being drawn, entitlement for the older child ends with the birth and childcare allowance is then received for the newly-born child.

7.2.2 *Calculation of benefit amount*

7.2.2.1 Calculation of gross benefit

- As of January 2010 claimants may choose between two schemes (offering a total of five options):
Flat-rate childcare allowance (four options) both recognises and remunerates in part the commitment and work involved for parents in caring for small children. Parents may claim these flat-rate allowances irrespective of whether they were economically employed prior to the birth of the child or not.
- Income-related childcare allowance is primarily designed to give better earning parents – who want to withdraw from the labour market for a limited period of time only – the opportunity of receiving some compensation for the earnings foregone during that period.

Flat rate:

Option 30 plus 6 means, that one parent alone may receive child care allowance amounting to EUR 436 per month up until the child is 30 months old. The child care allowance will only be paid out in the full amount up until the child turns 3 if the parents take turns in receiving the allowance and the other parent receives the child care allowance for at least half a year. Months of child care allowance, which the second parent does not take on, cannot be transferred to the first parent.

Option 20 plus 4: one parent may receive child care allowance amounting to roughly EUR 624 per month until the child is twenty months old. The child care allowance will only be paid out in the full amount up until the child turns 2 if the parents take turns in receiving the allowance and the other parent receives the child care allowance for at least 4 months. Months of child care allowance, which the second parent does not take on, cannot be transferred to the first parent.

Option 15 plus 3 means, that one parent alone may receive child care allowance amounting to about EUR 800 per month up until the child is 15 months old. The child care allowance will only

be paid out in the full amount up until the child is 18 months old, if the parents take turns in receiving the allowance and the other parent receives the child care allowance for at least 3 months. Months of child care allowance, which the second parent does not take on, cannot be transferred to the first parent.

Option 12 plus 2 means that one parent alone may receive child care allowance amounting to about EUR 1000 per month up until the child is 12 months old. The child care allowance will only be paid out in the full amount up until the child is 14 months old, if the parents take turns in receiving the allowance and the other parent receives the child care allowance for at least 2 months. Months of child care allowance, which the second parent does not take on, cannot be transferred to the first parent.

Option 12 plus 2 (income-related) means that one parent alone may receive child care allowance up until the child is 12 months old. The child care allowance will only be paid out in the full amount up until the child is 14 months old, if the parents take turns in receiving the allowance and the other parent receives the child care allowance for at least 2 months. Months of child care allowance, which the second parent does not take on, cannot be transferred to the first parent.

Income-related childcare allowance amounts to 80% of maternity allowance paid in Austria or of fictitious maternity allowance (calculated on the basis of income earned in Austria). Additional calculations automatically performed by the social health insurance institution and based on the formal tax assessment of income last earned in Austria in the calendar year prior the child's birth (in which no childcare allowance was claimed) may result in an increase of the daily rate but not in a reduction of this rate (most favourable rate approach). The maximum is about 2.000 Euro per month.

Multiples' supplement/flat rate options

In the case of multiple births, childcare allowance will be raised by a supplement of 50% of the chosen flat-rate option for every other child born.

When receiving child care allowance, parents may take turns twice in each variant, with one period lasting for at least two months. It is not possible for both parents to claim child care allowance simultaneously, even for siblings. In case of doubt, the parent who looks after the child more often has priority.

Payment of the child care allowance is linked with the medical examinations required under the mother-child pass scheme: For full entitlement to child care allowance over the entire period chosen, the prescribed mother-child pass examinations must be undergone at defined intervals and proven to the health insurance fund. Five examinations during pregnancy and five check-ups of the child are obligatory, the last one taking place around the child's first birthday.

If proof is not furnished completely and in due time, the child care allowance will be reduced to half as from the child's 10th/ 13th /17th or 25th months, depending on the variant chosen. In the income-related scheme the daily rate will be reduced by €16.50 as of the 10th month of the child. In multiple births evidence of the mother-child pass check-ups must be furnished for all multiple birth children. In the event that examinations were missed out or deadlines expired, the multiple birth supplement will also be reduced.

The childcare allowance is subject to an application, which has to be filed with the health insurance fund in charge. The relevant health insurance fund is the one which the person entitled

to claim benefit is insured with, or was last insured with (otherwise the regional health insurance fund). If the application for childcare allowance is made late, payment can only be backdated for a maximum of six months.

The parent drawing childcare allowance is covered by health insurance for this period.

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Assistance to single parents in the case of hardship

In special cases of hardship single parents may extend by another two months the maximum period of benefit entitlement of one parent under the chosen option if

- the other parent is prevented by any specific event from sharing the common household and thus from claiming childcare allowance (death, committal to mental hospital or nursing home, cases of domestic violence identified by courts or public authorities, stay in women's refuge, imprisonment), or
- one parent has been single for at least four months at the time of period extension, has filed an application for maintenance (alimony) and earns no more than €1,200 net over a specific period of time (plus €300 for every dependant person in the household).

7.2.2.2 Income and earnings disregards

Definition of income: The following income within the meaning of the Income Tax Act (Einkommensteuergesetz) is taken into account for the calculation:

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Income from agriculture and forestry

Income from independent personal services

Income from commercial activities

Income from employment

Under the flat rate scheme parents may earn 60 % of their prior income, at a minimum 16.200 Euro in the calendar year.

Under the income-related allowance scheme parents may only earn an additional €5,800 in the calendar year in question (which would correspond to the marginal earnings threshold). Also, they may not claim any unemployment insurance benefits.

Only the earnings of the parent claiming childcare allowance are taken into account. If the exemption limit is exceeded, the child care allowance will be claimed back up to the amount above the exemption limit (until 31/12/2007, the total child care allowance received for the calendar year had to be repaid). It is however possible to waive the right to parts of child care allowance. This type of waiver can however only be made in advance and for whole calendar months. The income of the month, while the right of child care allowance is waved, is not taken into account for the calculation of earnings level.

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7.2.3 *Tax treatment of benefit and interaction with other benefits*

Child care allowance is tax free.

Family allowance can be received at the same time; also unemployment insurance benefits, if income limit is not exceeded (exemption: income-related child care allowance;); for further conditions see unemployment insurance benefits.

7.2.4 *Treatment of particular groups*

Births starting from 1/1/2010 (new regulations):

Lone parents and married couples (or partners) on low incomes can apply for a supplementary payment to child care allowance amounting to EUR 6.06 per day. During the period in which a supplementary payment is drawn, the person receiving child care allowance can earn up to EUR 5.800 per calendar year. Concerning married couples/partners: there is an income limit for the partner as well: EUR 16,200

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8. Employment-conditional benefits

A modified in-work benefit (Kombilohnbeihilfe) targeted at the elderly (>50 years), handicapped persons and those with dependent children returning to work, who have unemployment spells longer than six months, was introduced in July 2009. The new in-work benefit is granted in form of a monthly wage top-up of € 300 (full-time) or € 150 (part-time) as an incentive to take up low-paid employment (between € 650 and € 1,700).

Benefit amount: Part-time work up to 16 hours/week: € 150,--. Full-time work (≥ 35 hours/week) up to € 1.500,-- monthly gross earnings: € 300,--. Full-time work with monthly gross earnings $> € 1.500,--$ and $\leq € 1.700,--$: € 150,--.

Note: Gross earnings here are current monthly earnings without Holiday and Christmas payments; i.e 12/14 of yearly gross earnings.

This measure is an instrument of active Labour Market Policy for unemployed with reduced chances of Labour Market inclusion aiming at the promotion of taking up work and is administrated by the Public Employment Service (AMS) on an individual basis. The allowance can only be granted as a result of a counselling and guidance process.

The maximum duration of benefit receipt is one year.

9. Lone-parent benefits

See section 10.1.1.2.

10. Tax system (will be provided by the Centre for Tax Policy and Administration)

Income concept: apart from 12 current monthly payments, Austrian employees usually receive two bonuses of the same amount. Whereas current payments are taxed according to the income tax schedule, there is a special favourable schedule for non-current payments (13th and 14th salary).

10.1 Income tax rate schedule

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

- Work related expenses: a minimum allowance of EUR 132 is available to all employees.
- Minimum allowance for special expenses EUR 60 Social security contributions and connected contributions.
- Children allowance of EUR 220 for one or EUR 132 for both parents per child. The parents have the choice between these opportunities.
- Deductibility of cost for child care (up to EUR 2.300 p.a. per child) and tax-free payments (up to EUR 500 p.a.) from employers to their employees for child care.

10.1.1.1.1 Adjustments

The data on which the gross earnings of an average production worker are based reflect amounts that form a category of tax-free income (Freibeträge). In order to make the tax calculations as realistic as possible, it is assumed in this Report that 2 per cent of the gross earnings are tax free.

10.1.1.2 Standard tax credits

- Employee's tax credit of EUR 54. In the overall tax calculation, negative tax is possible where the amount paid to the taxpayer would equal the gross tax minus tax credits but is limited to 10 per cent of social security contributions to a maximum of EUR 110.
- Traffic (commuting) tax credit EUR 291.
- Sole earner's and sole parent's tax credit of EUR 364. The sole earner's credit is not given when a spouse's income exceeds EUR 2 200 or EUR 6 000 for a family with children. This tax credit is increased by EUR 130 for the first, by EUR 175 for the second and by EUR 220 for the third and every additional child. If there are children, this tax credit is non-wastable and can be paid out as a negative income tax (in addition to the negative tax permitted in respect of the Employee's tax credit).
- Children's tax credit EUR 700.8 per child.

Notes on Negative Credits:

The formula for calculating the final “Net tax on current income” is: first, intermediate tax on current income (ITCI) is calculated as Gross Tax on current income minus some credits (general tax credit, sole earner's credit, wage earner's credit and wage earner's traffic credits). Then:

- If ITCI>0, Net tax on current income is equal to ITCI.
- If ITCI<0, Net tax on current income is the maximum of:
 - ITCI.
 - $-0.1 \times \text{Employee's SSC}$ – (Sole earner's tax credit if there are children).
 - -110 – (Sole earner's tax credit if there are children).

10.1.2 *Income tax schedule*

The new tax schedule has a zero-zone up to EUR 11 000 and shows tax formulas for three tax brackets. The effective marginal tax rates resulting from these formulas are:

Income (EUR) up to	Marginal rate %
11 000	0
25 000	36.5
60 000	43.21429
Above	50

There is a special taxation other than the normal tax schedule for Christmas and leave bonus to the extent that their sum does not exceed two average monthly payments (1/6 of current income). The tax is the minimum of 30 per cent of the amount net of SSC exceeding EUR 2 000 and of 6 per cent of total bonuses minus a tax-free amount of EUR 620.

10.2 *Treatment of family income*

The tax unit is the individual.

10.3 *Social security contribution schedule*

.1. *Employee and Employer Social Security Contributions*

	Ceilings (EUR)		Rates (%)	
	Regular wage per month	Christmas and leave bonus	Employee ⁽²⁾	Employer
Health insurance	4 110	8 040	3.95	3.70
Unemployment insurance	4 110	8 040	<i>see below</i> ⁽³⁾	3.00
Pension insurance	4 110	8 040	10.25	12.55
Accident insurance	4 110	8 040	--	1.40
Contribution to the labour chamber	4 110	¹⁾	0.50	--
Contribution for the promotion of residential building	4 110	¹⁾	0.50	0.50
Addition to secure wage	4 110	8 040	--	0.55

payments in the case of
bankruptcy

1. No contributions on Christmas and leave bonus. In Revenue Statistics, the contribution to the labour chamber is accounted under Taxes on Income of Individuals (1110), the total of the contribution for the promotion of residential buildings is included in Taxes on payroll (3000).
2. There is a threshold for employee contributions of EUR 366,33 per month.
3. Mid 2008, the employees' unemployment insurance rate was reduced for low earnings. In 2010, it is zero for monthly earnings up to EUR 1 155, 1% up to EUR 1 260, 2% up to EUR 1 417 and 3% above.

10.4. Payroll taxes

There are two payroll taxes which are levied on employers for all private sector employees with a monthly gross wage total of more than EUR 1 095: the contribution to the Family Burden Equalisation Fund (4.5 per cent) and the Community Tax (3 per cent). The wage-dependant part of the contribution to the Entrepreneurs' Chamber (listed under heading 1000, taxes on profits, in the *Revenue Statistics*) which is levied, together with the contributions to the Family Burden Equalisation Fund, at different rates depending upon the Länder Chamber (the average rate is approximately 0.4 per cent) is not taken into account. The contribution for the promotion of residential buildings (listed under heading 3000, taxes on payroll, in *Revenue Statistics*) is included in the social security contributions shown above as it is levied by the Health Insurance Companies on monthly income (current) along with the other social security contribution amounts.

11. Part-time work

11.1 Special benefit rules for part-time work

None.

11.2 Special tax and social security contribution rules for part-time work

None.

12. Policy developments

12.1 Policy changes introduced: 2nd July 2009 – 1st July 2010

12.2 Future policy changes announced since July 1st 2009

From September 1st 2010 on 95 per cent of the supplement (*Ergänzungsbetrag*) paid to raise the unemployment benefits for claims not exceeding the equalisation supplement reference rate (*Ausgleichszulagenrichtsatz*) (see 2.2.1.) will be paid also to the unemployment assistance (as a part of means-tested guaranteed minimum income).

Since January 1st 2011 the duration of unemployment benefit may be extended by a maximum of 78 weeks, after having absolved measures of rehabilitation ("Maßnahmen der beruflichen Rehabilitation").

The Part-time scheme for older workers (*Altersteilzeit*) is aimed at safeguarding and maintaining employment of older workers until retirement and the part-time allowance for older workers (*Altersteilzeitgeld*) can be paid to men over the age of 58 and woman over the age of 53 if they migrate to this scheme. The part-time allowance compensates for some of the additional cost (wage adjustment and social insurance contributions) incurred by the employer i.e. 90% of such costs if working hours are reduced on a continuing basis and 55% if they are reduced by one block of full-time work followed by a period of leave. From 2011 on the employer will get only 50% of his or her additional costs in case of the block of full-time work.

ANNEX B

Wohnbeihilfe

Calculation of the “Allgemeine Wohnbeihilfe”

(in privately rented, non-subsidised built or renovated houses)

The difference between “Anrechenbarer Wohnungsaufwand” (countable housing expenditure) and “Zumutbarer Wohnungsaufwand” (reasonable housing expenditure) is paid as “Wohnbeihilfe”.

“Anrechenbarer Wohnungsaufwand” (countable housing expenditure):

This means the legally permitted rent laid down in the lease contract;

- in case of a tenancy for an indefinite period and Category A flats - EUR 4,91 per m² at maximum,
- in case of a tenancy for a definite period and Category B flats - EUR 3,68 per m² at maximum,
- **IN CASE OF CATEGORY C+D FLATS - EUR 2,46 PER M² AT MAXIMUM.**

“Zumutbarer Wohnungsaufwand” (reasonable housing expenditure):

According to the family net-income of all members living in the common household (1/12 of their net-incomes p.a.) and the number of these members.

The following tables show the corresponding “Zumutbarer Wohnungsaufwand”

Reference date for all information is **July 1st 2010**

Abbreviations:

EK (Einkommen): net-income of all members living in the common household per month

ZWA (Zumutbarer Wohnungsaufwand): reasonable housing expenditure

Estimates based on minimum income limit growth (2006).

A household with 1 person

EK	ZWA
734,00	0,00
741,26	2,91
748,53	5,81
755,80	8,72
763,06	11,63
770,33	14,53
777,60	17,44
784,87	20,35
792,13	23,26
799,40	26,53
806,67	29,80
813,94	33,07
821,20	36,34
828,47	39,61
835,74	42,88
843,00	46,15
850,27	49,42
857,54	53,05
864,81	56,68

EK	ZWA
872,07	60,32
879,34	63,95
886,61	67,59
893,88	71,22
901,14	74,85
908,41	78,49
915,68	82,48
922,94	86,48
930,21	90,48
937,48	94,47
944,75	98,47
952,01	102,47
959,28	106,47
966,55	110,46
973,82	114,82
981,08	119,18
988,35	123,54
995,62	127,90
1002,89	132,26

EK	ZWA
1010,15	136,62
1017,42	140,99
1024,69	145,35
1031,95	150,07
1039,22	154,79
1046,49	159,52
1053,76	164,24
1061,02	168,96
1068,29	173,69
1075,56	178,41
1082,83	183,14
1090,09	188,22
1097,36	193,31
1104,63	198,40
1111,89	203,48
1119,16	208,57
1126,43	213,66
1133,70	218,75
1140,96	223,83

A household with 2 persons

EK	ZWA
901,14	0
908,41	2,91
915,68	5,81
922,94	8,72
930,21	11,63
937,48	14,53
944,75	17,44
952,01	20,35
959,28	23,26
962,92	24,71
970,18	27,98
977,45	31,25
984,72	34,52
991,98	37,79
999,25	41,06
1.006,52	44,33
1.013,79	47,6
1.021,05	50,87
1.024,69	52,51
1.031,95	56,14
1.039,22	59,77
1.046,49	63,41

EK	ZWA
1.082,83	81,58
1.086,46	83,39
1.093,73	87,39
1.100,99	91,39
1.108,26	95,38
1.115,53	99,38
1.122,80	103,38
1.130,06	107,37
1.137,33	111,37
1.144,60	115,37
1.148,23	117,37
1.155,50	121,73
1.162,77	126,09
1.170,03	130,45
1.177,30	134,81
1.184,57	139,17
1.191,83	143,53
1.199,10	147,89
1.206,37	152,25
1.210,00	154,43
1.217,27	159,15
1.224,54	163,88

EK	ZWA
1.260,87	187,5
1.268,14	192,22
1.271,77	194,58
1.279,04	199,67
1.286,31	204,76
1.293,58	209,84
1.300,84	214,93
1.308,11	220,02
1.315,38	225,1
1.322,65	230,19
1.329,91	235,28
1.333,55	237,82
1.340,81	243,27
1.348,08	248,72
1.355,35	254,17
1.362,62	259,62
1.369,88	265,07
1.377,15	270,52
1.384,42	275,98
1.391,68	281,43
1.395,32	284,15
1.402,59	289,96

Reference date for all information is **July 1st 2010**

1.053,76	67,04
1.061,02	70,67
1.068,29	74,31
1.075,56	77,94

1.231,80	168,6
1.239,07	173,32
1.246,34	178,05
1.253,61	182,77

1.409,85	295,78
1.417,12	301,59
1.424,39	307,41
1.431,65	313,22

A household with 3 persons

EK	ZWA
999,25	0,00
1.006,52	2,91
1.013,79	5,81
1.021,05	8,72
1.028,32	11,63
1.035,59	14,53
1.042,86	17,44
1.050,12	20,35
1.057,39	23,26
1.064,66	26,16
1.071,92	29,43
1.079,19	32,70
1.086,46	35,97
1.093,73	39,24
1.100,99	42,51
1.108,26	45,78
1.115,53	49,05
1.122,80	52,32
1.130,06	55,59
1.137,33	59,23
1.144,60	62,86
1.151,86	66,50
1.159,13	70,13
1.166,40	73,76
1.173,67	77,40
1.180,93	81,03
1.188,20	84,66
1.195,47	88,30
1.202,74	92,29

EK	ZWA
1.210,00	96,29
1.217,27	100,29
1.224,54	104,29
1.231,80	108,28
1.239,07	112,28
1.246,34	116,28
1.253,61	120,27
1.260,87	124,27
1.268,14	128,63
1.275,41	132,99
1.282,68	137,35
1.289,94	141,71
1.297,21	146,07
1.304,48	150,43
1.311,74	154,79
1.319,01	159,15
1.326,28	163,51
1.333,55	168,24
1.340,81	172,96
1.348,08	177,69
1.355,35	182,41
1.362,62	187,13
1.369,88	191,86
1.377,15	196,58
1.384,42	201,30
1.391,68	206,03
1.398,95	211,11
1.406,22	216,20
1.413,49	221,29

EK	ZWA
1.420,75	226,38
1.428,02	231,46
1.435,29	236,55
1.442,56	241,64
1.449,82	246,72
1.457,09	251,81
1.464,36	257,26
1.471,62	262,71
1.478,89	268,16
1.486,16	273,61
1.493,43	279,06
1.500,69	284,51
1.507,96	289,96
1.515,23	295,42
1.522,50	300,87
1.529,76	306,68
1.537,03	312,49
1.544,30	318,31
1.551,57	324,12
1.558,83	329,93
1.566,10	335,75
1.573,37	341,56
1.580,63	347,38
1.587,90	353,19
1.595,17	359,37
1.602,44	365,54
1.609,70	371,72
1.616,97	377,90
1.624,24	384,08

A household with 4 persons

EK	ZWA
1.097,36	0,00
1.104,63	2,91
1.111,89	5,81
1.119,16	8,72
1.126,43	11,63
1.133,70	14,53
1.140,96	17,44
1.148,23	20,35
1.155,50	23,26
1.162,77	26,16
1.166,40	27,62
1.173,67	30,89

EK	ZWA
1.340,81	113,19
1.348,08	117,18
1.355,35	121,18
1.362,62	125,18
1.369,88	129,18
1.373,52	131,17
1.380,78	135,53
1.388,05	139,90
1.395,32	144,26
1.402,59	148,62
1.409,85	152,98
1.417,12	157,34

EK	ZWA
1.580,63	265,80
1.587,90	271,25
1.595,17	276,70
1.602,44	282,15
1.609,70	287,60
1.616,97	293,05
1.624,24	298,50
1.631,51	303,95
1.638,77	309,40
1.646,04	314,86
1.649,67	317,58
1.656,94	323,39

Reference date for all information is **July 1st 2010**

1.180,93	34,16
1.188,20	37,43
1.195,47	40,70
1.202,74	43,97
1.210,00	47,24
1.217,27	50,51
1.224,54	53,78
1.231,80	57,05
1.235,44	58,68
1.242,71	62,32
1.249,97	65,95
1.257,24	69,58
1.264,51	73,22
1.271,77	76,85
1.279,04	80,49
1.286,31	84,12
1.293,58	87,75
1.300,84	91,39
1.304,48	93,20
1.311,74	97,20
1.319,01	101,20
1.326,28	105,19
1.333,55	109,19

1.424,39	161,70
1.431,65	166,06
1.438,92	170,42
1.442,56	172,60
1.449,82	177,32
1.457,09	182,05
1.464,36	186,77
1.471,62	191,49
1.478,89	196,22
1.486,16	200,94
1.493,43	205,66
1.500,69	210,39
1.507,96	215,11
1.511,59	217,47
1.518,86	222,56
1.526,13	227,65
1.533,40	232,73
1.540,66	237,82
1.547,93	242,91
1.555,20	248,00
1.562,47	253,08
1.569,73	258,17
1.577,00	263,26

1.664,21	329,21
1.671,48	335,02
1.678,74	340,84
1.686,01	346,65
1.693,28	352,46
1.700,54	358,28
1.707,81	364,09
1.715,08	369,90
1.718,71	372,81
1.725,98	378,99
1.733,25	385,17
1.740,51	391,34
1.747,78	397,52
1.755,05	403,70
1.762,32	409,87
1.769,58	416,05
1.776,85	422,23
1.784,12	428,41
1.787,75	431,49
1.795,02	438,04
1.802,29	444,58
1.809,55	451,12

A household with 5 persons

EK	ZWA
1.195,47	0,00
1.202,74	2,91
1.210,00	5,81
1.217,27	8,72
1.224,54	11,63
1.231,80	14,53
1.239,07	17,44
1.246,34	20,35
1.253,61	23,26
1.260,87	26,16
1.268,14	29,07
1.275,41	32,34
1.282,68	35,61
1.289,94	38,88
1.297,21	42,15
1.304,48	45,42
1.311,74	48,69
1.319,01	51,96
1.326,28	55,23
1.333,55	58,50
1.340,81	61,77
1.348,08	65,41
1.355,35	69,04

EK	ZWA
1.464,36	126,09
1.471,62	130,08
1.478,89	134,08
1.486,16	138,08
1.493,43	142,44
1.500,69	146,80
1.507,96	151,16
1.515,23	155,52
1.522,50	159,88
1.529,76	164,24
1.537,03	168,60
1.544,30	172,96
1.551,57	177,32
1.558,83	181,68
1.566,10	186,41
1.573,37	191,13
1.580,63	195,85
1.587,90	200,58
1.595,17	205,30
1.602,44	210,02
1.609,70	214,75
1.616,97	219,47
1.624,24	224,20

EK	ZWA
1.733,25	301,59
1.740,51	307,04
1.747,78	312,49
1.755,05	317,94
1.762,32	323,39
1.769,58	328,84
1.776,85	334,30
1.784,12	340,11
1.791,39	345,92
1.798,65	351,74
1.805,92	357,55
1.813,19	363,36
1.820,45	369,18
1.827,72	374,99
1.834,99	380,81
1.842,26	386,62
1.849,52	392,43
1.856,79	398,61
1.864,06	404,79
1.871,33	410,96
1.878,59	417,14
1.885,86	423,32
1.893,13	429,50

Reference date for all information is **July 1st 2010**

1.362,62	72,67
1.369,88	76,31
1.377,15	79,94
1.384,42	83,57
1.391,68	87,21
1.398,95	90,84
1.406,22	94,47
1.413,49	98,11
1.420,75	102,11
1.428,02	106,10
1.435,29	110,10
1.442,56	114,10
1.449,82	118,09
1.457,09	122,09

1.631,51	228,92
1.638,77	234,01
1.646,04	239,09
1.653,31	244,18
1.660,57	249,27
1.667,84	254,35
1.675,11	259,44
1.682,38	264,53
1.689,64	269,62
1.696,91	274,70
1.704,18	279,79
1.711,45	285,24
1.718,71	290,69
1.725,98	296,14

1.900,39	435,67
1.907,66	441,85
1.914,93	448,03
1.922,20	454,21
1.929,46	460,75
1.936,73	467,29
1.944,00	473,83
1.951,27	480,37
1.958,53	486,91
1.965,80	493,45
1.973,07	499,99
1.980,33	506,53
1.987,60	513,07
1.994,87	519,61

A household with 6 persons

EK	ZWA
1.293,58	0,00
1.300,84	2,91
1.308,11	5,81
1.315,38	8,72
1.322,65	11,63
1.329,91	14,53
1.337,18	17,44
1.344,45	20,35
1.351,71	23,26
1.358,98	26,16
1.366,25	29,07
1.369,88	30,52
1.377,15	33,79
1.384,42	37,06
1.391,68	40,33
1.398,95	43,60
1.406,22	46,87
1.413,49	50,14
1.420,75	53,41
1.428,02	56,68
1.435,29	59,96
1.442,56	63,23
1.446,19	64,86
1.453,46	68,49
1.460,72	72,13
1.467,99	75,76
1.475,26	79,40
1.482,53	83,03
1.489,79	86,66
1.497,06	90,30
1.504,33	93,93
1.511,59	97,56
1.518,86	101,20
1.522,50	103,01

EK	ZWA
1.595,17	142,98
1.598,80	144,98
1.606,07	149,34
1.613,34	153,70
1.620,60	158,06
1.627,87	162,42
1.635,14	166,78
1.642,41	171,14
1.649,67	175,50
1.656,94	179,87
1.664,21	184,23
1.671,48	188,59
1.675,11	190,77
1.682,38	195,49
1.689,64	200,21
1.696,91	204,94
1.704,18	209,66
1.711,45	214,38
1.718,71	219,11
1.725,98	223,83
1.733,25	228,56
1.740,51	233,28
1.747,78	238,00
1.751,42	240,37
1.758,68	245,45
1.765,95	250,54
1.773,22	255,63
1.780,48	260,71
1.787,75	265,80
1.795,02	270,89
1.802,29	275,98
1.809,55	281,06
1.816,82	286,15
1.824,09	291,24

EK	ZWA
1.893,13	342,83
1.900,39	348,28
1.904,03	351,01
1.911,30	356,82
1.918,56	362,64
1.925,83	368,45
1.933,10	374,27
1.940,36	380,08
1.947,63	385,89
1.954,90	391,71
1.962,17	397,52
1.969,43	403,33
1.976,70	409,15
1.980,33	412,05
1.987,60	418,23
1.994,87	424,41
2.002,14	430,59
2.009,40	436,76
2.016,67	442,94
2.023,94	449,12
2.031,21	455,30
2.038,47	461,47
2.045,74	467,65
2.053,01	473,83
2.056,64	476,92
2.063,91	483,46
2.071,18	490,00
2.078,44	496,54
2.085,71	503,08
2.092,98	509,62
2.100,24	516,16
2.107,51	522,70
2.114,78	529,24
2.122,05	535,78

Reference date for all information is **July 1st 2010**

1.529,76	107,01
1.537,03	111,01
1.544,30	115,00
1.551,57	119,00
1.558,83	123,00
1.566,10	127,00
1.573,37	130,99
1.580,63	134,99
1.587,90	138,99

1.827,72	293,78
1.834,99	299,23
1.842,26	304,68
1.849,52	310,13
1.856,79	315,58
1.864,06	321,03
1.871,33	326,48
1.878,59	331,93
1.885,86	337,38

2.129,31	542,32
2.132,95	545,59
2.140,21	552,50
2.147,48	559,40
2.154,75	566,30
2.162,02	573,21
2.169,28	580,11
2.176,55	587,01

Reference date for all information is **July 1st 2010**